

Beekay Steel Industries Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · BSE: 539018 · NSE: BEEKAY · Report prepared 21 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's public financials, annual filings, credit-rating rationales and news record. This company holds no earnings calls — see Section 2.

1 Snapshot

Beekay Steel rolls long steel products — mainly **TMT bars** (thermo-mechanically treated steel reinforcement rods, the ribbed rods embedded in concrete to give buildings and bridges their tensile strength) plus structural sections, bright bars and spring steel — from eight units at Jamshedpur (Jharkhand), Chengalpet (Tamil Nadu), Parwada/Vizag (Andhra Pradesh) and Cuttack (Odisha), with its registered office in Kolkata. About **five-sixths of its tonnage is job work for Tata Steel**, not steel it owns and sells.

Measure	Figure	What it means in plain words
Market value	₹806 cr	What the whole company costs at ₹423 a share. A small company.
Book value	₹552 a share	Book value = the accounting value of everything the company owns minus everything it owes, per share. The share trades at ₹423, i.e. 0.77× book — below it. The market is saying it does not believe these assets will earn a proper return; it is not automatically "cheap".
Operating profit, FY26	₹95 cr	EBITDA = earnings before interest, tax, depreciation and amortisation, i.e. cash profit from trading alone. Down 43% from ₹167 cr in FY23 while sales rose.
Operating margin (OPM)	15% → 8%	Operating profit for every ₹100 of sales, FY23 to FY26. Almost half the margin gone in three years.
Net profit, FY26	₹38 cr	Down 71% from ₹133 cr in FY24; EPS ₹69.72 → ₹19.92. Sales meanwhile hit a record ₹1,175 cr — profit fell as sales rose.
ROCE	15% → 6%	ROCE = return on capital employed: operating profit as a % of all the money (equity plus debt) tied up in the business. 6% is below what a bank fixed deposit pays. This is the single worst number here.
Debt / net worth	₹330 cr / ₹1,053 cr	Borrowings are modest at 0.31× equity, and 69% is short-term working-capital borrowing. The balance sheet is not the problem.
Dividend	₹1 a share (FY26)	A 5% payout, 0.24% yield. Token. The company keeps essentially all its profit.
Promoter holding	71.92%	The Bansal family. Crept up from 71.49% since 2023 — they are buying, not selling.

2 Coverage & sources

No concall transcripts were available on Screener — this report is based on a global web deep-dive.

Beekay Steel **holds no earnings calls at all**. Screener's document shelf for the company (verified 21 Aug 2026) carries annual reports from 2006–2025 and credit-rating letters from 2021–2025, and **no Concalls tab and no investor presentations**. The local transcript store at `.../concall-tracker/beekay/documents/concalls/` is empty because there is nothing to fetch. In 45 years as a listed and pre-listed company, management has never taken an analyst question on record. Everything below is therefore reconstructed from audited filings and a third-party credit analyst — never from management explaining itself in public.

Sources actually used:

- **Audited results for the quarter and year ended 31 March 2026** (BSE, 15 May 2026) — the single most valuable document found; its **Note 9** answers the loss question outright.
- **Unaudited results for the quarter ended 30 June 2026** (BSE, 11 Aug 2026) — standalone and consolidated statements, limited review report, board-meeting outcome.
- **India Ratings & Research (Ind-Ra, a Fitch group company) rating rationale, 9 December 2025** — "IND A/Stable" affirmed; filed to BSE under Regulation 30 on 10 December 2025. **By far the richest operating disclosure that exists on this company**: tonnage split, customer concentration, plant-by-plant commissioning, leverage.
- **FY2024-25 Annual Report** — the only document containing a chairman's statement, an MD&A, stated targets and a scrip-by-scrip list of the investment portfolio. **The FY26 annual report does not exist yet** (AGM is 29 Sept 2026), so all management commentary quoted here is a year old.
- **Screener.in** financial history FY2015–FY2026, quarterly series to Jun 2026, balance sheet, cash flow, ratios, shareholding; and the **BSE announcement record** for scrip 539018 across CY2026 (38 filings). `screener.in/company/BEEKAY/`

- **Company website** (beekaysteel.com) — profile, locations, products, news, results index; **Odisha State Pollution Control Board** hearing filing for the Cuttack site; press coverage of the SARFAESI acquisition. **Trade press** for result confirmation — Business Standard / Capital Market, MarketsMojo, Whalesbook, ScanX.

What does not exist in public: any capacity-utilisation *percentage*, plant-wise capacity or revenue, order book, realisation per tonne, segment margins, any quarterly split of other income, and any FY26 management commentary. Every filing reviewed was addressed to BSE Limited alone. There has never been an earnings call, an investor presentation or a results press release — the CY2026 BSE record contains not one analyst-meet intimation.

2b Latest update highlights

Latest update highlights — Q1 FY27 (quarter ended 30 June 2026)

- **The best quarter in two years, on the operating line.** Sales ₹374.7 cr, up 32% on the ₹282.8 cr of Q1 FY26. Operating profit ₹40.6 cr against ₹18 cr — margin back to 10.8% from 6%. [Q1 FY27 filing, 11 Aug 2026]
- **But half the reported profit is not from making steel.** Net profit ₹38.3 cr came off a pre-tax profit of ₹47.6 cr, of which ₹23.96 cr — 50.3% — was "other income", i.e. the treasury book, not the mills. Strip it out and pre-tax profit is ₹23.7 cr and net profit roughly ₹19 cr. Full detail in Section 5. [Q1 FY27 filing]
- **The core business genuinely did improve, though.** On the same ex-treasury basis, Q1 FY26 pre-tax profit was only ₹5.5 cr. So core profit is up more than four-fold year on year. Both things are true at once.
- **The Cuttack plant is finally producing.** Power and fuel cost jumped to ₹51.3 cr from ₹28.3 cr (+81%) while raw material cost rose only 17% — the signature of a sponge-iron and captive-power complex running instead of bought-in steel being re-rolled. [Q1 FY27 filing; Ind-Ra 9 Dec 2025]
- **The March 2026 loss quarter is explained, and it was not an operating failure.** Q4 FY26 showed a ₹17.54 cr net loss on ₹338.6 cr of sales despite ₹24.3 cr of operating profit. The cause is stated outright in Note 9 of the audited results: **an unrealised mark-to-market loss of ₹20.13 cr on the company's own equity and debt investment portfolio**, booked through the profit and loss account under Ind AS 109. The company's own table shows that **excluding it, pre-tax profit for the quarter would have been a positive ₹6.92 cr instead of a ₹13.21 cr loss**. A deferred tax charge of ₹4.53 cr — levied despite the pre-tax loss — widened the reported loss further. There was no impairment, no write-off and no meaningful exceptional item (the exceptional line was just ₹0.37 cr). [Audited FY26 results, Note 9, 15 May 2026]
- **This has happened before.** The same note shows Q4 FY25 carried an unrealised loss of ₹13.49 cr, turning what would have been ₹19.45 cr of pre-tax profit into ₹5.96 cr. Two March quarters in a row have been wrecked by the same treasury book.
- **Housekeeping.** Dividend ₹1/share (a fifth straight year at ₹1); AGM 29 Sept 2026; auditor Rustagi & Associates LLP gave an **unmodified opinion — no key audit matter, no emphasis of matter, no going-concern flag**; promoter entity Century Vision bought 31,000 shares on 8 June 2026. [BSE filings]

2c Business mix & capacity

The thing to understand first: Beekay runs two quite different businesses that look like one.

1. Conversion / job work — ~83% of tonnes, ~22% of revenue. Tata Steel ships Beekay **billets** (semi-finished steel: a plain cast bar, the intermediate product between molten steel and a finished rod) which Beekay re-heats and rolls into TMT bars in its **rolling mills** (mills that squeeze hot steel through shaped rollers to form it), then ships back to Tata Steel, which sells them under its own brand. Beekay is paid a **fixed conversion charge** and never owns the steel. In FY25 this was **549,259 tonnes of 663,763 tonnes total**, but only ₹232.6 cr of revenue — about **₹4,235 a tonne**, because only the fee is booked, not the value of the steel. This is the stable, low-risk half: no exposure to the steel price, and the raw material never sits on Beekay's balance sheet.

2. Own manufacturing — ~17% of tonnes, ~78% of revenue. Beekay buys or now makes its own raw material and sells finished bars and sections for its own account: 114,504 tonnes in FY25 at roughly **₹73,692 a tonne**. This is where all the volatility lives, because the profit is the *spread* between what billet or scrap costs and what finished bar fetches, less power. **This is the segment whose margin collapsed.**

Did it make its own billets? Until recently, no — and that is now changing. Beekay was historically a re-roller, buying billets in. Around 2021 it bought a distressed integrated steel plant near Cuttack, Odisha out of default under the SARFAESI Act, into a wholly-owned subsidiary **Beekay Uttal Steel Private Limited**, and has been rebuilding it: sponge iron went commercial in **December 2024**; the **ferro alloys, captive power plant, rolling mill and steel melting shop all started in Q2 FY26** (Jul–Sep 2025). Ind-Ra also records a plan for a further steel plant at **Kalinganagar**. Backward integration into its own steel is the real strategic change here.

Plants: eight units — Jamshedpur (Jharkhand), Chengalpet (Tamil Nadu), Parwada/Vizag (Andhra Pradesh), Cuttack (Odisha). *Note: this company is Kolkata-headquartered but has no West Bengal plant.* Parwada **switched to 100% Tata Steel conversion work from September 2025** — a deliberate move out of the volatile business into the stable one. **End markets:** construction and infrastructure, automobiles, railways, heavy engineering, plus galvanising of structures; products carry BIS, RDSO (railways) and IATF/TS-16949 (automotive) approvals.

The Cuttack asset was bought very cheaply. The FY25 annual report says it acquired the assets of **Maheshwari Ispat** "through an open bidding attempt", where "an asset value of Rs 1000 Cr was available for Rs 225 Cr". Phase 1 was 400 tonnes-per-day of sponge iron; **Phase 2 would take that to 1,400 TPD** and replace the scrapped steel melting shop with **six 20-tonne furnaces**. Phase 2 is costed at **₹725 cr, of which ₹500 cr is intended to be long-term debt**.

Capacity, and the number that matters most. The FY25 annual report does disclose installed capacity: **TMT bars 641,000 tonnes a year, rolled sections 275,000, bright bars 40,000 — about 956,000 tonnes in total**, plus Cuttack's newly commissioned 132,000 t of sponge iron, 130,000 t of billets, 180,000 t of TMT and 14 MW of captive power. Against that, FY25 production was **663,197 tonnes**. **That is roughly 69% utilisation — nearly a third of the plant stands idle**, and it reframes the whole capex story: Beekay spent ₹514 cr *adding* capacity to a business already running with a third of it spare. Utilisation is nowhere disclosed as a percentage; that figure is computed, and Ind-Ra's only remark is "limited overhead absorption in the Cuttack unit due to lower capacity utilisation". (Treat the FY23 and FY24 annual reports with care — both label actual production as "production capacity", which understates capacity roughly ten-fold on bright bars.)

Concentration is getting worse, not better. Tata Steel group was 23.13% of FY25 revenue (FY24: 25.63%) and is now the *only* conversion customer. In 2022 Ind-Ra recorded that Beekay also did conversion work for **SAIL and Rashtriya Ispat Nigam**; by December 2025 the conversion book "caters to only one customer". The stable half of the business has been consolidated onto a single counterparty. Add geography — **southern India is over two-thirds of revenue** — and exports at only ~1.5% of sales, and this is a regionally and commercially concentrated business. India Ratings is its **sole** rater; CRISIL withdrew in 2012 for non-cooperation.

3 Earning-trigger thesis

There is a real trigger here, and it is not just the steel spread

Most small TMT rollers have no story beyond "billet was cheap this quarter". Beekay does have one: it spent roughly **₹514 cr of gross capital expenditure between FY22 and FY26** (property, plant and equipment plus capital work-in-progress went from ₹220 cr to ₹734 cr) rebuilding a distressed integrated steel plant at Cuttack, and that plant only became fully operational in Q2 FY26. Q1 FY27 is the **first quarter in which the money shows up in the numbers**. The trigger is the ramp-up. The question is whether it earns a return, because four years in the score is still: capital up ₹514 cr, revenue down from ₹1,296 cr (FY22) to ₹1,175 cr, operating profit down 57%, ROCE down from 24% to 6%.

Calibrate to what management actually promises, not to history. The FY25 annual report states the goal in capitals: *"following the completion of Phase 2 by the close of this decade, your company is expected to reach revenues of Rs 2600 Cr with an EBITDA margin of 8 to 10%."* **Management's own long-run target margin is 8–10% — roughly where FY26 already sits.** The 15–17% margins of FY22–FY23 are explicitly *not* the destination. The bet on offer is volume, not margin recovery — a doubling of revenue on a thin, largely fee-based margin. Legitimate, but far more modest than the historical margin series implies.

Trigger	What the public record says	Evidence so far	Time horizon	Strength
Cuttack integrated plant ramp-up	Sponge iron live Dec 2024; steel melting shop, rolling mill, ferro alloys and captive power all live Q2 FY26. Ind-Ra: scale "likely to increase in the near-to-medium term", spare land for expansion, logistics advantage.	Real and visible. Q1 FY27 sales +32% with power and fuel +81% but raw material only +17% — own-made steel displacing bought-in steel. Operating margin back to 10.8% from 6%.	Now – FY28	Strong
Shift into fee-based conversion work	Parwada moved to 100% Tata Steel conversion from Sept 2025; Jamshedpur conversion volumes growing on "renewed contracts for additional requirements". Fee work needs no working capital and carries no steel-price risk.	Confirmed by a third party. Ind-Ra explicitly credits "EBITDA stability emanating from the conversion business" as the main reason for the IND A rating.	Now, ongoing	Strong
Backward integration closing the margin gap	Making its own billets should convert a bought-in input cost into an in-house margin, and cut exposure to the billet/scrap-versus-bar spread that has been destroying profitability.	Plausible, one quarter old. Margin moved the right way and 10.8% is already inside management's own 8–10% target band. But power cost is now the swing factor instead of billet cost — risk moved, not removed.	FY27 – FY29	Medium
Phase 2 — ₹725 cr, to ₹2,600 cr revenue	DRI capacity from 400 to 1,400 tonnes/day plus six 20-tonne furnaces, "by the close of this decade", funded with ₹500 cr of new long-term debt.	Announced, not started, and it cuts both ways. Ind-Ra's stated <i>downgrade</i> trigger is expressly "a new debt-funded capex" pushing leverage above 3.0×. The growth plan and the credit rating are in direct tension.	FY28 – FY30	Medium
Recovery from a genuinely bad base	H1 FY26 was hit by three one-off-ish things per Ind-Ra: a Tata Steel planned maintenance shutdown that cut conversion volumes, weak own-manufacturing realisations, and unabsorbed Cuttack overheads.	Base effect is real. Two of the three causes were temporary, which is why Q1 FY27 looks so much better year on year.	FY27	Medium
Cheap assets and treasury gains	Share at 0.77× book value, with ₹211 cr of equity and debt investments marked	Neither is a business trigger. Nothing re-rates a 6% ROCE, and the portfolio is a proxy share book	Random	Weak

through profit each quarter inside a ₹806 cr company.

bolted to a steel company — it flattered FY24–FY25 and destroyed two March quarters.

4 Management consistency scorecard

Read this first

Beekay holds no earnings calls, publishes no investor presentation and issues no guidance. **Every "promise" below is inferred from annual reports, exchange filings, and what management told a credit-rating agency behind closed doors — not from management being questioned by analysts in public.** Nobody has ever had to ask this board why ROCE fell from 24% to 6%, or what the ₹514 cr of capital expenditure was supposed to earn. The read is **directional only**, and the absence of scrutiny is itself the most important finding in this section.

Period	Promised / stated	What happened	Verdict
FY22–FY26 capex programme	Acquire and revive a distressed integrated steel plant at Cuttack under SARFAESI; build sponge iron, steel melting, rolling, ferro alloys and captive power to become self-sufficient in steel.	It was built and it does run — sponge iron Dec 2024, the rest Q2 FY26. But it took roughly five years and ₹514 cr , and across that whole period revenue <i>fell</i> from ₹1,296 cr to ₹1,175 cr while operating profit fell 57% and ROCE went 24% → 6%. Delivered late, and not yet earning.	Delivered, but no return yet
Dec 2025 to Ind-Ra	"Ind-Ra expects the leverage levels to recover in 2H FY26"; full-year interest cover "around 7x" and gross leverage "below 3.0x", on a recovery in H2.	Missed. FY26 finished with operating profit of ₹95 cr against ₹330 cr of debt — gross leverage about 3.5x, not below 3.0x. H2 FY26 delivered a ₹56 cr operating profit but a March quarter that lost money. The recovery came a quarter later than told.	Missed
FY24 record profit	Reported the highest net profit in company history: ₹133 cr, EPS ₹69.72.	Low-quality peak. Operating profit had <i>already fallen</i> from ₹167 cr to ₹137 cr that year. The record came from ₹49 cr of other income and a tax rate of just 11%. Nothing in the filing flagged that the headline was borrowed from the treasury book and the tax line.	Flattered
FY25 AR own admission	Chairman, on the FY25 decline: "the proportion of treasury returns in the EBITDA declined from 26% to 24%. " MD&A blamed "weak steel realizations, capacity investments that were yet to bear fruit and a decline in the value of the Company's investments (marked-to-market)".	Management itself counts roughly a quarter of EBITDA as stock-market returns. That is a candid and damning admission, and it is the real explanation of the margin series. It also means the reported "operating" profit history is not a clean read on the steel business either.	Candid
Q4 FY26 disclosure	Note 9 of the audited results quantified the unrealised treasury loss precisely, gave a five-period comparative table, and added that it "does not have any bearing on the cash account of the Company".	Genuinely good disclosure — exactly when it excused a loss. Credit where due: this note is clearer than most mid-caps manage, and it is why the loss quarter is explainable at all.	Transparent
Q1 FY27 disclosure	Same treasury book, same Ind AS 109 marks, other income now a positive ₹23.96 cr — half of pre-tax profit.	The Note 9 table was dropped. The quarter it hurt, the split was published. The quarter it helped, it was not. Nothing requires the note in an unaudited quarter, so this is not a breach — but it is asymmetric, and it is the kind of thing an analyst would have asked about on a call, if there were one.	Selective
FY15–FY26 capital returns	Dividend payout of 1–5% of profit throughout; ₹1 a share for FY26.	Consistent, and consistently miserly. Retaining ~97% of earnings is defensible while building a plant. It is much harder to defend alongside a 6% ROCE and ₹211 cr parked in shares and bonds. Promoters at 71.92% are the main beneficiaries of retention.	Consistent, unrewarding
Feb 2026 CFO change	Manav Bansal (son of the Chairman) resigned as Chief Financial Officer "in order to devote greater attention and focus to the core responsibilities as a Whole-time Director", stating "there is no other reason". Ashok Agarwal appointed — ex-CFO of Manaksia Aluminium, whose cited strengths include "commodity and forex hedging (including LME operations)".	Reads as an orderly, even sensible, professionalisation — a family member steps back from the finance seat and an outside specialist in commodity hedging takes it, right as the company becomes a producer of its own steel. Worth watching rather than worrying about. No auditor change; promoter shares carry zero encumbrance.	Neutral / watch

Untested

Ongoing accountability

Never held an earnings call. No investor presentation. No capacity, utilisation, realisation or segment disclosure.

A 45-year record of not explaining itself. The best operating information about this company is written by a rating analyst, for lenders, not for shareholders.

5 Bottom line

EARNING TRIGGER: REAL BUT UNPROVEN — ONE QUARTER OF EVIDENCE

There is a specific, identifiable trigger here, which is more than most small TMT rollers offer. Beekay spent about **₹514 cr** reviving a distressed integrated steel plant at Cuttack, and the last pieces — steel melting shop, rolling mill, ferro alloys, captive power — only started in Q2 FY26. Q1 FY27 is the first quarter that shows what it can do, and the operating signature is exactly right: sales up 32%, power and fuel up 81%, raw material up only 17%, margin back from 6% to 10.8%. That is a company making its own steel instead of buying it. Alongside it sits a genuinely good structural feature: **roughly 83% of tonnage is fixed-fee conversion work for Tata Steel**, carrying no steel-price risk and no working capital, which Ind-Ra credits as the reason the company holds an IND A rating at all.

But one quarter is one quarter, and the four-year scoreboard is unforgiving: capital employed up by more than half a billion rupees, revenue *lower* than FY22, operating profit down 57%, **ROCE down from 24% to 6%** — below a fixed deposit. And integration moved the risk rather than removing it: the swing factor is now power and coal cost instead of billet cost. Add the concentration risk — Tata Steel is 23% of revenue and the whole of the stable business, and one planned shutdown at Tata's end knocked a hole in H1 FY26 — and the trigger is credible but conditional. **Two or three more quarters at 11%-plus margins with rising own-manufactured volume would confirm it. Anything less and ₹514 cr has bought a bigger, no-more-profitable company.**

QUALITY OF EARNINGS AND MANAGEMENT ACCOUNTABILITY: POOR — HALF THE PROFIT IS A SHARE PORTFOLIO, AND NOBODY GETS TO ASK

Both of the odd numbers in this company's recent record have the same cause, and it is not steel. Beekay holds **₹211 cr of equity and debt investments** — a quarter of its own market value — run by an in-house treasury desk and marked to market through the profit and loss account each quarter under Ind AS 109. That is what happened in **March 2026**: an operationally profitable quarter (₹338.6 cr sales, ₹24.3 cr operating profit) was turned into a ₹17.54 cr net loss by an **unrealised mark-to-market loss of ₹20.13 cr**, with a ₹4.53 cr deferred tax charge levied on top of a pre-tax loss. The company's own Note 9 confirms pre-tax profit would have been +**₹6.92 cr** without it. March 2025 was the same story: a ₹13.49 cr unrealised loss cut ₹19.45 cr of pre-tax profit to ₹5.96 cr. And it works in reverse: **Q1 FY27's ₹38.3 cr net profit rests on ₹23.96 cr of other income — 50.3% of pre-tax profit**. Strip it out and the quarter earned about ₹19 cr, not ₹38 cr. The same trick built FY24's "record" ₹133 cr profit, which combined ₹49 cr of other income with an 11% tax rate in a year when operating profit had already fallen. Across FY26 the identifiable treasury items — ₹17.5 cr realised gains on selling investments, ₹14.0 cr unrealised marks, ₹1.7 cr dividends — more than account for the entire ₹21.9 cr of reported other income. Treasury is not a contributor to other income; it is other income. And management does not dispute this: the FY25 chairman's statement says plainly that **"the proportion of treasury returns in the EBITDA declined from 26% to 24%"** — on its own telling, about a quarter of EBITDA has been stock-market return, not steel.

Worse, the portfolio is not a cash buffer — it is a leveraged second bet on Beekay's own cycle. The FY25 annual report does list it scrip by scrip, and the contents are striking: a directly-held listed equity book concentrated in **Indian steel and metal cyclical**s — Shyam Metalics, MSP Steel & Power, Tata Steel, Jindal Stainless, JSW Steel, Jindal Steel, SAIL, Sarda Energy, Godawari Power, Kirloskar Ferrous, Electrosteel — plus equity-oriented mutual funds and a single large unlisted holding of **₹60 cr in National Stock Exchange shares**. So when steel realisations fall, Beekay's operating margin and its treasury book fall *together*. This is not diversification; it is the same risk taken twice, and it is why the March quarters break.

To be fair to management: the core business really did improve. On the same ex-treasury basis, pre-tax profit went from ₹5.5 cr in Q1 FY26 to ₹23.7 cr in Q1 FY27, a four-fold gain. That is the number that matters, and it is good. The problem is that **an investor has to compute it themselves**, because the company published the treasury split in the quarter it excused a loss and quietly dropped that table in the quarter it manufactured a profit. Layer on the structural silence — **no earnings calls ever, no investor presentation, no installed capacity, no utilisation, no segment margins, no guidance**, such that the most informative document about this business is a credit-rating letter written for lenders — and there is no mechanism by which this board is ever asked to justify a 6% ROCE, a 5% payout, or why a steel company needs a ₹211 cr share portfolio. The balance sheet is sound, the audit opinion is clean and unqualified, the promoters are buying, and the operational turn looks real. **None of that substitutes for accountability. Treat the headline earnings as unreliable, do the ex-treasury arithmetic every quarter, and price in the fact that you will never get to ask a question.**